You are the audit manager responsible for the external audit of Pamper Hotels and Golf Resorts Limited ('Pamper') for the year ended 31 October 20X9.

Pamper operates a range of luxury hotel and golf resorts based in well-known golf locations across the UK.

Overall materiality has been set at £400,000 and the trivial threshold at £20,000.

The final audit visit has been completed. You are reviewing the outstanding matters (Appendix) which have been passed to you by the audit senior.

Your audit partner has asked you to evaluate these matters and to advise on any further substantive audit procedures that will be required.

Required:

Evaluate the outstanding matters presented, analysing why each is an issue, and recommend what further audit procedures, if any, will be required.

(30 marks)

APPENDIX – Outstanding matters raised by audit senior

In August 20X9, Pamper received notification from HMRC of an investigation into allegations that it was not paying the correct National Minimum Wage to a significant number of reception, restaurant and golf shop staff at its resorts. The investigation is complete, however, HMRC has not yet issued its report.

The finance director has met with HMRC and based on those discussions, understands that HMRC is likely to assert that staff have been underpaid, in which case Pamper will be liable to a payment of £410,000 in unpaid wages, employer taxes and penalties. Management have refused to accept the HMRC presentation of the case, or the estimate, and have not accounted for any related costs in the financial statements.

Pamper offers members of the golf club a 10% discount on their subscriptions if they pay for a full year in advance at the start of the membership year in April. A total of 440 members took advantage of the offer and each paid £2,250 to Pamper on 1 April 20X9. The full amount received was recognised as income in Pamper's financial statements during the year.

Pamper has a three-year contract with the world's largest specialist golf holiday travel company which accounts for 40% of company revenue. This is disclosed in the financial statements. The renewal date is after the date scheduled for the signing of the financial statements and negotiations are still ongoing.

On 5 September 20X9, there was a large fire in the storeroom of the golf merchandise shop at a Pamper resort in Hampshire, UK. This led to a loss of inventory with a value of £19,000, an amount which has been confirmed by the audit team by agreement to purchase invoices. Management has not yet written off the value of the inventory as they are awaiting the outcome of an insurance claim related to the fire.

In September 20X9, the board of directors of Pamper approved a loan of £175,000 to Owen Ross, who is the son of the Pamper founder and Chair. The directors determined that the amount was not material and have therefore not disclosed the loan in the notes to the financial statements.

There is a bank account balance of £600,000 in Pamper's financial records, which is not included in the list of bank accounts set out in the bank confirmation letter that was received from Pamper's bank as part of the audit fieldwork.